 Name _____

Walmart: Reading the Real Financial Statements

These are Walmart's statements as they appear in its **Form 10-K** filed with the SEC (a few lines omitted). Walmart's fiscal 2025 ended **January 31, 2025**. Fill in each lettered blank in the **2025** column, using how the accounts relate. Calculators are fine.

Walmart Inc.
Consolidated Statements of Income
(Amounts in millions, except per share data)

	Fiscal Years Ended January 31, 2025	2024
Revenues:		
Net sales	$ 674,538	$ 642,637
Membership and other income	6,447	5,488
Total revenues	A **680,985**	648,125
Costs and expenses:		
Cost of sales	511,753	490,142
Operating, selling, general and administrative expenses	139,884	130,971
Operating income	B **29,348**	27,012
Interest:		
Debt	2,249	2,259
Finance lease	479	424
Interest income	(483)	(546)
Interest, net	C **2,245**	2,137
Other (gains) and losses	794	3,027
Income before income taxes	D **26,309**	21,848
Provision for income taxes	6,152	5,578
Consolidated net income	E **20,157**	16,270
Consolidated net income attributable to noncontrolling interest	(721)	(759)
Consolidated net income attributable to Walmart	F **$ 19,436**	$ 15,511
Diluted net income per common share attributable to Walmart	$ 2.41	$ 1.91

See accompanying notes.

Walmart Inc.
Consolidated Balance Sheet
(Amounts in millions)

	January 31, 2025
ASSETS	
Current assets:	
Cash and cash equivalents	$ 9,037
Receivables, net	9,975
Inventories	56,435
Prepaid expenses and other	4,011
Total current assets	K **79,458**
Property and equipment, net	119,993
Operating lease right-of-use assets	13,599
Finance lease right-of-use assets, net	6,112
Goodwill	28,792
Other long-term assets	12,869
Total assets	L **$ 260,823**
LIABILITIES, REDEEMABLE NONCONTROLLING INTEREST, AND EQUITY	
Current liabilities:	
Short-term borrowings	$ 3,068
Accounts payable	58,666
Accrued liabilities	29,345
Accrued income taxes	608
Long-term debt due within one year	2,598
Operating lease obligations due within one year	1,499
Finance lease obligations due within one year	800
Total current liabilities	M **96,584**
Long-term debt	33,401
Long-term operating lease obligations	12,825
Long-term finance lease obligations	5,923
Deferred income taxes and other	14,398
Redeemable noncontrolling interest	271
Shareholders' equity:	
Common stock	802
Capital in excess of par value	5,503
Retained earnings	98,313
Accumulated other comprehensive loss	(13,605)
Total Walmart shareholders' equity	N **91,013**
Nonredeemable noncontrolling interest	6,408
Total equity	O **97,421**
Total liabilities, redeemable noncontrolling interest, and equity	$ 260,823

See accompanying notes.

PART 3 · HOW THE ACCOUNTS CONNECT

1. **Gross profit** = Net sales − Cost of sales G **162,785**
   Gross margin % = Gross profit ÷ Net sales H **24.1%**
2. **Purchases.** Beginning inventory (Jan 31, 2024) was 54,892. Beginning inventory + Purchases − Cost of sales = Ending inventory. Purchases = I **513,296**
3. **Inventory turnover** = Cost of sales ÷ Average inventory
   J **9.2 times**
4. **Retained earnings** grew from 89,814 (Jan 31, 2024) to 98,313. Increase = P **8,499** Net income attributable to Walmart (F) was larger than this increase. Why?
   Retained earnings = beginning + net income − dividends (Walmart also charges part of its share buybacks here). It earned 19,436, but most of the difference was paid out to shareholders.
5. **Accounts payable** (58,666) is larger than **inventories** (56,435), and current liabilities exceed current assets. What does that tell you about Walmart?
   Walmart sells the goods (about every 40 days) before it has to pay suppliers, so suppliers are financing its inventory. For Walmart this reflects bargaining power, not trouble.
6. **LIFO.** Walmart's U.S. stores use LIFO. When costs are *rising*, LIFO vs. FIFO gives cost of sales (**higher**) / lower , net income higher / (**lower**), ending inventory higher / (**lower**).

Source: Walmart Inc. Form 10-K for the fiscal year ended January 31, 2025 (SEC EDGAR), and the fiscal 2025 Q4 earnings release. Omitted: the 2023 income statement column, basic EPS and share counts, and the prior-year balance sheet column. "Finance lease right-of-use assets, net" is shown as the amount that balances total assets.